

After all, who wants their house to burn down, leg to break, or car to crash? Yet, the “insurable event” underlying pension annuities is living a long and prosperous life.

Back to My Research on Variable Annuities

So, after spending quite a bit of time pouring over some of the more recent designs of variable annuities as well as talking to actuaries, regulators, and advisors, I’m not even sure these instruments and riders deserve the old (maligned) variable annuity name.

Regardless of what you want to call these increasingly heterogeneous products, it seems the relative value pendulum has swung in the opposite direction. I can no longer claim that you are being overcharged for their guarantees or that you can achieve similar goals at a lower cost.

Nowadays, VA policies are not being manufactured as an investment to die for but as an investment to live for because they are increasingly focused on generating a lifetime of income that is guaranteed. They certainly are not being marketed as a primary tax shelter. Increasingly cheaper term life insurance and lower capital gains tax rates have rightfully taken the wind out of those sails. Currently the main story is about protection against the sequence of returns risk, which I discussed in Chapter 6, “Sequence of Investment Returns,” and a sustainable retirement income that will last a lifetime and beyond, without the scary irreversibility of annuitization. Alas, the variable annuity has finally returned to its roots I tried to explain earlier. It is providing longevity insurance; and it would be very difficult and expensive to create a “living benefit” in a do-it-yourself manner.

Indeed, when you take into account the new living benefit riders being attached to variable annuities, such as Guaranteed Minimum Withdrawal Benefits (GMWBs), Guaranteed Minimum Accumulation Benefits (GMABs), and Guaranteed Minimum Income Benefits (GMIBs), these “FinSurance” products are creating a different type of protection. The characteristics of these elected riders are summarized in Table 9.4 and despite the odd sounding acronyms, all of them include equity put options on the capital market. They protect the owner in the event that something goes awfully wrong during the early